not yet been officially announced. Over the years we became close friends.'[8] The Woods team met industrialists and bankers in Bombay, Calcutta, and Madras and held discussions with the Finance Minister, Deshmukh, who was helpful. The Indian business groups set up a small steering committee consisting of Sir Ramaswami Mudaliar, G.D. Birla, and A.D. Shroff to work out a scheme and set the ball rolling.

Black and Woods persuaded four American parties—the Bank of America, Olin Matheson, Westinghouse, and the Rockefeller Brothers to contribute a quarter of a million dollars each. The British parties then came in with some banks, insurance companies, and the CDFC also participated in the scheme. The Government of India gave an interest free loan of ₹7.5 crores while the World Bank extended a line of credit of US $10 million.

In the early autumn of 1954, Sir Ramaswami Mudaliar and A.D. Shroff went to Washington to finalize the scheme. They discussed the project at the Indian embassy at a lunch Mehta had given, although he himself was not part of the discussions. Later in October, when the scheme materialized, Mehta spoke at a lunch at the World Bank, little realizing that he would be the Chairman of the institution one day. Mehta voiced the view that this Corporation might serve as a catalytic agent for mobilizing capital and for industrial development in more than one sense since three parties, namely Indian capital, the Indian government, and the World Bank were participating in it as also Indian private capital along with British and American capital.

The Government of India was quick to accept the principle of a privately owned institution to finance private sector investment. There were differences over the terms on which the government would lend the counterpart rupee funds ($15 million or ₹7.5 crores) to a private company, and over the World Bank's insistence that the Chief Executive of the proposed institution should be a foreigner so as to keep the institution free of the pressures of competing business groups in India. Notwithstanding these differences progress was rapid.

It was agreed to set up an investment corporation to stimulate the creation of new industries and expansion and modernization of existing ones, and promote the participation of private capital, both domestic and foreign, in Indian industries. In order to attain these objectives, it was intended that the Corporation would provide capital assistance either in the